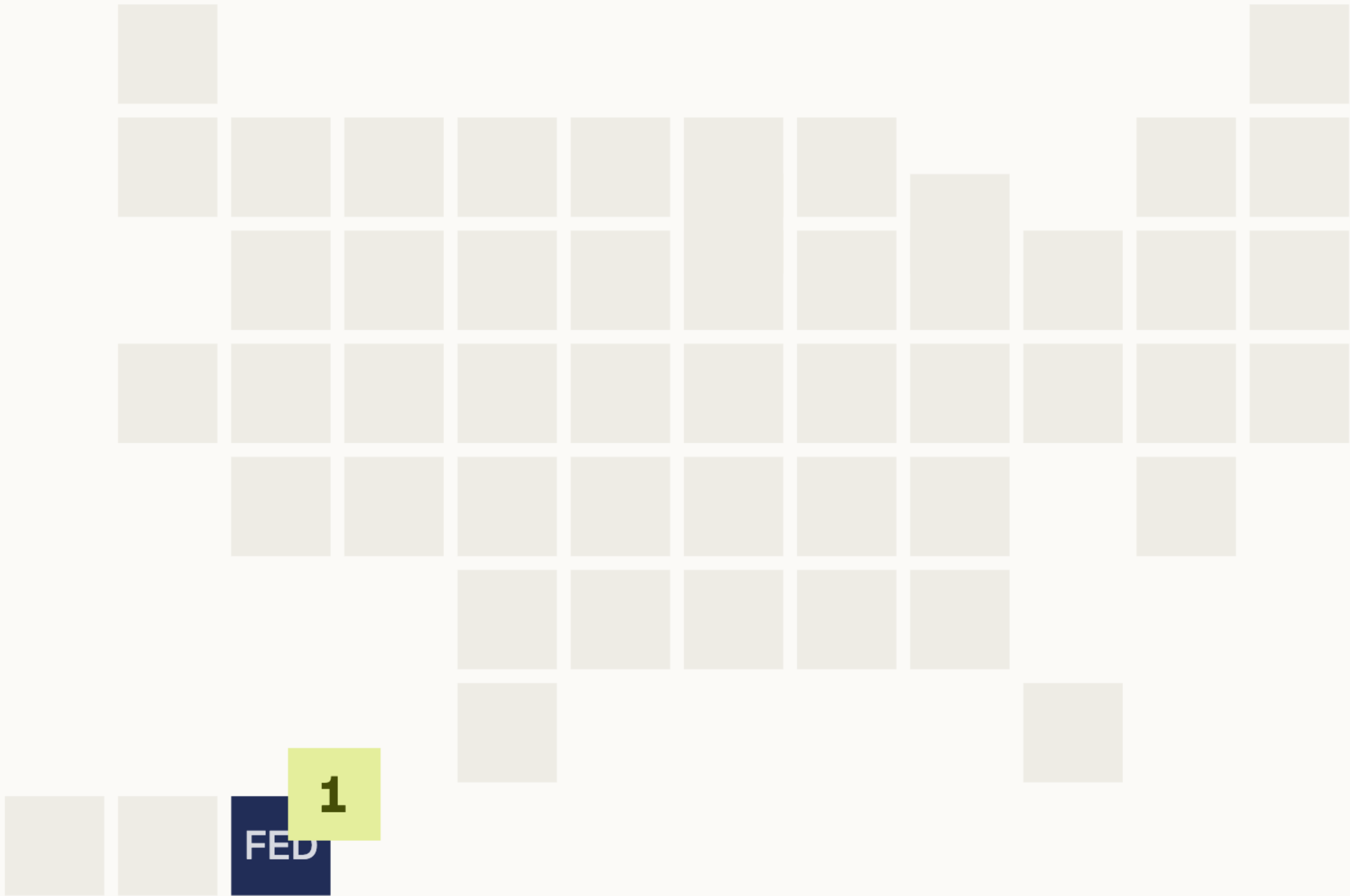


A rule change lands in this state



Federal
July 9 in force

Certain charitable remainder annuity trust
arrangements are now listed transactions.

Who files what

PARTICIPATING TAXPAYER

Form 8886 with the return

Individuals and trusts alike.

MATERIAL ADVISOR

Form 8918

A separate disclosure duty on the promoter side.

CHARITABLE REMAINDERMAN ONLY

Not treated as a participant

An organisation with no other role stays outside section 4965 and its disclosure rules.

The structure being targeted

Fund a purported CRAT with appreciated property, sell it inside the trust, buy an annuity with the proceeds, then report the annuity payments as if the trust distribution rules did not apply. Separate penalties apply for failure to disclose.